UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

FORM 10-K

(Mark One)

☒ **ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the fiscal year ended December 31, 2021
OR

☐ **TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the transition period from to

Commission File Number 001-02217

(Exact name of Registrant as specified in its charter)

Delaware	**58-0628465**
(State or other jurisdiction of incorporation)	(I.R.S. Employer Identification No.)
One Coca-Cola Plaza	
Atlanta, Georgia	**30313**
(Address of principal executive offices)	(Zip Code)

Registrant's telephone number, including area code: (404) 676-2121

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol(s)	Name of each exchange on which registered
Common Stock, $0.25 Par Value	KO	New York Stock Exchange
0.500% Notes Due 2024	KO24	New York Stock Exchange
1.875% Notes Due 2026	KO26	New York Stock Exchange
0.750% Notes Due 2026	KO26C	New York Stock Exchange
1.125% Notes Due 2027	KO27	New York Stock Exchange
0.125% Notes Due 2029	KO29A	New York Stock Exchange
0.125% Notes Due 2029	KO29B	New York Stock Exchange
0.400% Notes Due 2030	KO30B	New York Stock Exchange
1.250% Notes Due 2031	KO31	New York Stock Exchange
0.375% Notes Due 2033	KO33	New York Stock Exchange
0.500% Notes Due 2033	KO33A	New York Stock Exchange
1.625% Notes Due 2035	KO35	New York Stock Exchange
1.100% Notes Due 2036	KO36	New York Stock Exchange
0.950% Notes Due 2036	KO36A	New York Stock Exchange
0.800% Notes Due 2040	KO40B	New York Stock Exchange
1.000% Notes Due 2041	KO41	New York Stock Exchange

Securities registered pursuant to Section 12(g) of the Act: None

THE COCA-COLA COMPANY AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF INCOME
(In millions except per share data)

Year Ended December 31,		**2021**		2020		2019
Net Operating Revenues	**$**	**38,655**	$	33,014	$	37,266
Cost of goods sold		**15,357**		13,433		14,619
Gross Profit		**23,298**		19,581		22,647
Selling, general and administrative expenses		**12,144**		9,731		12,103
Other operating charges		**846**		853		458
Operating Income		**10,308**		8,997		10,086
Interest income		**276**		370		563
Interest expense		**1,597**		1,437		946
Equity income (loss) — net		**1,438**		978		1,049
Other income (loss) — net		**2,000**		841		34
Income Before Income Taxes		**12,425**		9,749		10,786
Income taxes		**2,621**		1,981		1,801
Consolidated Net Income		**9,804**		7,768		8,985
Less: Net income (loss) attributable to noncontrolling interests		**33**		21		65
Net Income Attributable to Shareowners of The Coca-Cola Company	**$**	**9,771**	$	7,747	$	8,920
Basic Net Income Per Share[1]	**$**	**2.26**	$	1.80	$	2.09
Diluted Net Income Per Share[1]	**$**	**2.25**	$	1.79	$	2.07
Average Shares Outstanding — Basic		**4,315**		4,295		4,276
Effect of dilutive securities		**25**		28		38
Average Shares Outstanding — Diluted		**4,340**		4,323		4,314

[1] Calculated based on net income attributable to shareowners of The Coca-Cola Company.

Refer to Notes to Consolidated Financial Statements.

THE COCA-COLA COMPANY AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In millions)

Year Ended December 31,		**2021**		2020		2019
Consolidated Net Income	**$**	**9,804**	$	7,768	$	8,985
Other Comprehensive Income:						
Net foreign currency translation adjustments		**(699)**		(911)		74
Net gains (losses) on derivatives		**214**		15		(54)
Net change in unrealized gains (losses) on available-for-sale debt securities		**(90)**		(47)		18
Net change in pension and other postretirement benefit liabilities		**712**		(267)		(159)
Total Comprehensive Income		**9,941**		6,558		8,864
Less: Comprehensive income (loss) attributable to noncontrolling interests		**(101)**		(132)		110
Total Comprehensive Income Attributable to Shareowners of The Coca-Cola Company	**$**	**10,042**	$	6,690	$	8,754

Refer to Notes to Consolidated Financial Statements.

THE COCA-COLA COMPANY AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(In millions except par value)

December 31,		2021		2020
ASSETS				
Current Assets				
Cash and cash equivalents	**$**	**9,684**	$	6,795
Short-term investments		**1,242**		1,771
Total Cash, Cash Equivalents and Short-Term Investments		**10,926**		8,566
Marketable securities		**1,699**		2,348
Trade accounts receivable, less allowances of $516 and $526, respectively		**3,512**		3,144
Inventories		**3,414**		3,266
Prepaid expenses and other current assets		**2,994**		1,916
Total Current Assets		**22,545**		19,240
Equity method investments		**17,598**		19,273
Other investments		**818**		812
Other noncurrent assets		**6,731**		6,184
Deferred income tax assets		**2,129**		2,460
Property, plant and equipment — net		**9,920**		10,777
Trademarks with indefinite lives		**14,465**		10,395
Goodwill		**19,363**		17,506
Other intangible assets		**785**		649
Total Assets	**$**	**94,354**	$	87,296
LIABILITIES AND EQUITY				
Current Liabilities				
Accounts payable and accrued expenses	**$**	**14,619**	$	11,145
Loans and notes payable		**3,307**		2,183
Current maturities of long-term debt		**1,338**		485
Accrued income taxes		**686**		788
Total Current Liabilities		**19,950**		14,601
Long-term debt		**38,116**		40,125
Other noncurrent liabilities		**8,607**		9,453
Deferred income tax liabilities		**2,821**		1,833
The Coca-Cola Company Shareowners' Equity				
Common stock, $0.25 par value; authorized — 11,200 shares; issued — 7,040 shares		**1,760**		1,760
Capital surplus		**18,116**		17,601
Reinvested earnings		**69,094**		66,555
Accumulated other comprehensive income (loss)		**(14,330)**		(14,601)
Treasury stock, at cost — 2,715 and 2,738 shares, respectively		**(51,641)**		(52,016)
Equity Attributable to Shareowners of The Coca-Cola Company		**22,999**		19,299
Equity attributable to noncontrolling interests		**1,861**		1,985
Total Equity		**24,860**		21,284
Total Liabilities and Equity	**$**	**94,354**	$	87,296

Refer to Notes to Consolidated Financial Statements.

THE COCA-COLA COMPANY AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In millions)

Year Ended December 31,	2021	2020	2019
Operating Activities			
Consolidated net income	**$ 9,804**	$ 7,768	$ 8,985
Depreciation and amortization	**1,452**	1,536	1,365
Stock-based compensation expense	**337**	126	201
Deferred income taxes	**894**	(18)	(280)
Equity (income) loss — net of dividends	**(615)**	(511)	(421)
Foreign currency adjustments	**86**	(88)	91
Significant (gains) losses — net	**(1,365)**	(914)	(467)
Other operating charges	**506**	556	127
Other items	**201**	699	504
Net change in operating assets and liabilities	**1,325**	690	366
Net Cash Provided by Operating Activities	**12,625**	9,844	10,471
Investing Activities			
Purchases of investments	**(6,030)**	(13,583)	(4,704)
Proceeds from disposals of investments	**7,059**	13,835	6,973
Acquisitions of businesses, equity method investments and nonmarketable securities	**(4,766)**	(1,052)	(5,542)
Proceeds from disposals of businesses, equity method investments and nonmarketable securities	**2,180**	189	429
Purchases of property, plant and equipment	**(1,367)**	(1,177)	(2,054)
Proceeds from disposals of property, plant and equipment	**108**	189	978
Other investing activities	**51**	122	(56)
Net Cash Provided by (Used in) Investing Activities	**(2,765)**	(1,477)	(3,976)
Financing Activities			
Issuances of debt	**13,094**	26,934	23,009
Payments of debt	**(12,866)**	(28,796)	(24,850)
Issuances of stock	**702**	647	1,012
Purchases of stock for treasury	**(111)**	(118)	(1,103)
Dividends	**(7,252)**	(7,047)	(6,845)
Other financing activities	**(353)**	310	(227)
Net Cash Provided by (Used in) Financing Activities	**(6,786)**	(8,070)	(9,004)
Effect of Exchange Rate Changes on Cash, Cash Equivalents, Restricted Cash and Restricted Cash Equivalents	**(159)**	76	(72)
Cash, Cash Equivalents, Restricted Cash and Restricted Cash Equivalents			
Net increase (decrease) in cash, cash equivalents, restricted cash and restricted cash equivalents during the year	**2,915**	373	(2,581)
Cash, cash equivalents, restricted cash and restricted cash equivalents at beginning of year	**7,110**	6,737	9,318
Cash, Cash Equivalents, Restricted Cash and Restricted Cash Equivalents at End of Year	**10,025**	7,110	6,737
Less: Restricted cash and restricted cash equivalents at end of year	**341**	315	257
Cash and Cash Equivalents at End of Year	**$ 9,684**	$ 6,795	$ 6,480

Refer to Notes to Consolidated Financial Statements.

THE COCA-COLA COMPANY AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF SHAREOWNERS' EQUITY
(In millions except per share data)

Year Ended December 31,		2021	2020	2019
Equity Attributable to Shareowners of The Coca-Cola Company				
Number of Common Shares Outstanding				
Balance at beginning of year		**4,302**	4,280	4,268
Treasury stock issued to employees related to stock-based compensation plans		**23**	22	33
Purchases of stock for treasury		**—**	—	(21)
Balance at end of year		**4,325**	4,302	4,280
Common Stock	**$**	**1,760**	$ 1,760	$ 1,760
Capital Surplus				
Balance at beginning of year		**17,601**	17,154	16,520
Stock issued to employees related to stock-based compensation plans		**216**	307	433
Stock-based compensation expense		**299**	141	201
Other activities		**—**	(1)	—
Balance at end of year		**18,116**	17,601	17,154
Reinvested Earnings				
Balance at beginning of year		**66,555**	65,855	63,234
Adoption of accounting standards[1]		**19**	—	546
Net income attributable to shareowners of The Coca-Cola Company		**9,771**	7,747	8,920
Dividends (per share — $1.68, $1.64 and $1.60 in 2021, 2020 and 2019, respectively)		**(7,251)**	(7,047)	(6,845)
Balance at end of year		**69,094**	66,555	65,855
Accumulated Other Comprehensive Income (Loss)				
Balance at beginning of year		**(14,601)**	(13,544)	(12,814)
Adoption of accounting standards[1]		**—**	—	(564)
Net other comprehensive income (loss)		**271**	(1,057)	(166)
Balance at end of year		**(14,330)**	(14,601)	(13,544)
Treasury Stock				
Balance at beginning of year		**(52,016)**	(52,244)	(51,719)
Treasury stock issued to employees related to stock-based compensation plans		**375**	228	501
Purchases of stock for treasury		**—**	—	(1,026)
Balance at end of year		**(51,641)**	(52,016)	(52,244)
Total Equity Attributable to Shareowners of The Coca-Cola Company	**$**	**22,999**	$ 19,299	$ 18,981
Equity Attributable to Noncontrolling Interests				
Balance at beginning of year	**$**	**1,985**	$ 2,117	$ 2,077
Net income attributable to noncontrolling interests		**33**	21	65
Net foreign currency translation adjustments		**(132)**	(153)	45
Dividends paid to noncontrolling interests		**(43)**	(18)	(48)
Acquisition of interests held by noncontrolling owners		**—**	—	(84)
Contributions by noncontrolling interests		**20**	17	3
Net change in pension and other postretirement benefit liabilities		**(2)**	—	—
Business combinations		**—**	1	59
Total Equity Attributable to Noncontrolling Interests	**$**	**1,861**	$ 1,985	$ 2,117

[1] The 2021 amount represents the adoption of Accounting Standards Update ("ASU") 2019-12, *Simplifying the Accounting for Income Taxes*, effective January 1, 2021. For information regarding the 2019 amounts, refer to Note 1 and Note 5.

Refer to Notes to Consolidated Financial Statements.

The Company is involved in various tax matters, with respect to some of which the outcome is uncertain. We establish reserves to remove some or all of the tax benefit of any of our tax positions at the time we determine that it becomes uncertain based upon one of the following conditions: (1) the tax position is not "more likely than not" to be sustained; (2) the tax position is "more likely than not" to be sustained, but for a lesser amount; or (3) the tax position is "more likely than not" to be sustained, but not in the financial period in which the tax position was originally taken. For purposes of evaluating whether or not a tax position is uncertain, (1) we presume the tax position will be examined by the relevant taxing authority that has full knowledge of all relevant information; (2) the technical merits of a tax position are derived from authorities such as legislation and statutes, legislative intent, regulations, rulings and caselaw and their applicability to the facts and circumstances of the tax position; and (3) each tax position is evaluated without consideration of the possibility of offset or aggregation with other tax positions taken. A number of years may elapse before a particular uncertain tax position is audited and finally resolved or when a tax assessment is raised. The number of years subject to tax assessments varies depending on the tax jurisdiction. The tax benefit that has been previously reserved because of a failure to meet the "more likely than not" recognition threshold would be recognized in income tax expense in the first interim period when the uncertainty disappears under any one of the following conditions: (1) the tax position is "more likely than not" to be sustained, (2) the tax position, amount, and/or timing is ultimately settled through negotiation or litigation, or (3) the statute of limitations for the tax position has expired. Refer to Note 11 and Note 14.

Translation and Remeasurement

We translate the assets and liabilities of our foreign subsidiaries from their respective functional currencies to U.S. dollars at the appropriate spot rates as of the balance sheet date. Generally, our foreign subsidiaries use the local currency as their functional currency. Changes in the carrying values of these assets and liabilities attributable to fluctuations in spot rates are recognized in net foreign currency translation adjustments, a component of accumulated other comprehensive income (loss) ("AOCI"). Refer to Note 15. Accounts in our consolidated statement of income are translated using the monthly average exchange rates during the year.

Monetary assets and liabilities denominated in a currency that is different from a reporting entity's functional currency must first be remeasured from the applicable currency to the legal entity's functional currency. The effect of this remeasurement process is recognized in the line item other income (loss) — net in our consolidated statement of income and is partially offset by the impact of our economic hedging program for certain exposures on our consolidated balance sheet. Refer to Note 5.

Recently Adopted Accounting Guidance

In February 2018, the Financial Accounting Standards Board ("FASB") issued ASU 2018-02, *Reclassification of Certain Tax Effects from Accumulated Other Comprehensive Income* ("ASU 2018-02"), which permits entities to reclassify the disproportionate income tax effects of the Tax Cuts and Jobs Act of 2017 ("Tax Reform Act") on items within AOCI to reinvested earnings. These disproportionate income tax effect items are referred to as "stranded tax effects." The amendments in this update only relate to the reclassification of the income tax effects of the Tax Reform Act. Other accounting guidance that requires the effect of changes in tax laws or rates to be included in net income is not affected by this update. We adopted ASU 2018-02 effective January 1, 2019. We recognized a cumulative effect adjustment to increase the opening balance of reinvested earnings as of January 1, 2019 by $558 million related to the effect that the change in the income tax rate had on the gross deferred tax amounts of items remaining in AOCI.

NOTE 2: ACQUISITIONS AND DIVESTITURES

Acquisitions

During 2021, our Company's acquisitions of businesses, equity method investments and nonmarketable securities totaled $4,766 million, which primarily related to the acquisition of the remaining ownership interest in BA Sports Nutrition, LLC ("BodyArmor").

During 2020, our Company's acquisitions of businesses, equity method investments and nonmarketable securities totaled $1,052 million, which primarily related to the acquisition of the remaining ownership interest in fairlife, LLC ("fairlife").

During 2019, our Company's acquisitions of businesses, equity method investments and nonmarketable securities totaled $5,542 million, which primarily related to the acquisitions of Costa, the remaining ownership interest in C.H.I. Limited ("CHI") and controlling interests in bottling operations in Zambia, Kenya and Eswatini.

BA Sports Nutrition, LLC

In November 2021, the Company acquired the remaining 85 percent ownership interest in, and now owns 100 percent of, BodyArmor, which offers a line of sports performance and hydration beverages in the United States. We acquired the remaining ownership interest in exchange for approximately $5,600 million of cash, of which $4,745 million was paid at close, net of cash acquired. The purchase price reflected the contractual discount included in the purchase option we obtained with our initial

investment in 2018. The remaining $860 million of the purchase price was held back related to indemnification obligations, of which $540 million was included in the line item accounts payable and accrued expenses and $320 million was included in the line item other noncurrent liabilities in our consolidated balance sheet. Upon consolidation, we recognized a gain of $834 million resulting from the remeasurement of our previously held equity interest in BodyArmor to fair value. The fair value of our previously held equity interest was determined using a discounted cash flow model based on Level 3 inputs. The gain was recorded in the line item other income (loss) — net in our consolidated statement of income. As of December 31, 2021, $4.2 billion of the purchase price was preliminarily allocated to the BodyArmor trademark and $2.2 billion was preliminarily allocated to goodwill, of which $1.2 billion is tax deductible. The goodwill recognized as part of this acquisition is primarily related to the synergistic value created from leveraging the capabilities, assets and scale of the Company and the opportunity for international expansion. It also includes certain other intangible assets that do not qualify for separate recognition, such as an assembled workforce. Of the total amount preliminarily allocated to goodwill, $1.9 billion has been assigned to the North America operating segment and $0.3 billion has been assigned to our other geographic operating segments. The preliminary allocation of the purchase price is subject to refinement when valuations are finalized. As of December 31, 2021, the valuations that have not been finalized primarily relate to other intangible assets and operating lease ROU assets and operating lease liabilities. The final purchase price allocation will be completed no later than the fourth quarter of 2022.

fairlife, LLC

In January 2020, the Company acquired the remaining 57.5 percent ownership interest in, and now owns 100 percent of, fairlife. fairlife offers a broad portfolio of products in the value-added dairy category across North America. Upon consolidation, we recognized a gain of $902 million resulting from the remeasurement of our previously held equity interest in fairlife to fair value. The fair value of our previously held equity interest was determined using a discounted cash flow model based on Level 3 inputs. The gain was recorded in the line item other income (loss) — net in our consolidated statement of income. We acquired the remaining ownership interest in exchange for $979 million of cash, net of cash acquired, and effectively settled our $306 million note receivable from fairlife at the recorded amount. Under the terms of the agreement, we are subject to making future milestone payments which are contingent on fairlife achieving certain financial targets through 2024 and, if achieved, are payable in 2021, 2023 and 2025. These milestone payments are based on agreed-upon formulas related to fairlife's operating results, the resulting values of which are not subject to a ceiling. Under the applicable accounting guidance, we recorded a $270 million liability representing our best estimate of the fair value of this contingent consideration as of the acquisition date. The fair value of this contingent consideration was determined using a Monte Carlo valuation model based on Level 3 inputs, including management's latest estimates of future operating results. We are required to remeasure this liability to fair value quarterly with any changes in the fair value recorded in income until the final milestone payment is made. Upon finalization of purchase accounting, $1.3 billion of the purchase price was allocated to the fairlife trademark and $0.8 billion was allocated to goodwill. The goodwill recognized as part of this acquisition is primarily related to synergistic value created from the opportunity for additional expansion. It also includes certain other intangible assets that do not qualify for separate recognition, such as an assembled workforce. The goodwill is not tax deductible and has been assigned to the North America operating segment.

During the years ended December 31, 2021 and 2020, we recorded charges of $369 million and $51 million, respectively. These charges related to the remeasurement of the contingent consideration liability to fair value and were recorded in the line item other operating charges in our consolidated statements of income. During the year ended December 31, 2021, we made the first milestone payment of $100 million based on fairlife meeting its financial targets in 2020.

Costa Limited

In January 2019, the Company acquired Costa in exchange for $4.9 billion of cash, net of cash acquired. Costa is a coffee business with retail stores in more than 30 countries, the Costa Express vending system and a state-of-the-art roastery. We believe this acquisition will allow us to increase our presence in the hot beverage market, as Costa has a scalable platform across multiple formats and channels, including opportunities to introduce ready-to-drink products. Upon finalization of purchase accounting, $2.4 billion of the purchase price was allocated to the Costa trademark and $2.5 billion was allocated to goodwill. The goodwill recognized as part of this acquisition is primarily related to synergistic value created from the opportunity for additional expansion as well as our ability to market and distribute Costa in ready-to-drink form throughout our bottling system. It also includes certain other intangible assets that do not qualify for separate recognition, such as an assembled workforce. The goodwill is not tax deductible and has been assigned to the Global Ventures operating segment, except for $108 million which was assigned to the Europe, Middle East and Africa operating segment.

C.H.I. Limited

In January 2019, the Company acquired the remaining 60 percent ownership interest in CHI, a Nigerian producer of value-added dairy and juice beverages and iced tea, in exchange for $257 million of cash, net of cash acquired, under the terms of the agreement for our original investment in CHI. Upon consolidation, we recognized a net loss of $118 million, which included

the remeasurement of our previously held equity interest in CHI to fair value and the reversal of the related cumulative translation adjustments. The fair value of our previously held equity investment was determined using a discounted cash flow model based on Level 3 inputs. The net loss was recorded in the line item other income (loss) — net in our consolidated statement of income.

Divestitures

During 2021, proceeds from disposals of businesses, equity method investments and nonmarketable securities totaled $2,180 million, which primarily related to the sale of our ownership interest in Coca-Cola Amatil Limited ("CCA"), an equity method investee, to Coca-Cola Europacific Partners plc ("CCEP"), also an equity method investee. We received cash proceeds of $1,738 million and recognized a net gain of $695 million as a result of the sale and the related reversal of cumulative translation adjustments. Also included were the sale of our ownership interest in an equity method investee and the sale of a portion of our ownership interest in another equity method investee. We received cash proceeds of $293 million and recognized a net gain of $114 million as a result of these sales.

During 2020, proceeds from disposals of businesses, equity method investments and nonmarketable securities totaled $189 million, which primarily related to the sale of our ownership interest in Piedmont Coca-Cola Bottling Partnership to Coca-Cola Consolidated, Inc., an equity method investee. We received cash proceeds of $100 million and recognized a net loss of $2 million as a result of this sale. Also included were the sale of our ownership interest in an equity method investee and the sale of a portion of our ownership interest in another equity method investee. We received cash proceeds of $62 million and recognized a net gain of $35 million as a result of these sales.

During 2019, proceeds from disposals of businesses, equity method investments and nonmarketable securities totaled $429 million, which primarily related to the sale of a portion of our ownership interest in Embotelladora Andina S.A. ("Andina") and the refranchising of certain of our bottling operations in India. As a result of these transactions, we recognized gains of $39 million and $73 million, respectively. We continue to account for our remaining ownership interest in Andina as an equity method investment as a result of our representation on Andina's Board of Directors and other governance rights.

Coca-Cola Beverages Africa Proprietary Limited

Due to the Company's original intent to refranchise Coca-Cola Beverages Africa Proprietary Limited ("CCBA"), it was accounted for as held for sale and as a discontinued operation from October 2017 through the first quarter of 2019. Additionally, CCBA's property, plant and equipment was not depreciated and its definite-lived intangible assets were not amortized during this period. While the Company had discussions with a number of potential partners throughout the period CCBA was held for sale, during the second quarter of 2019 the Company updated its plans with the intent to maintain its controlling stake in CCBA, which resulted in CCBA no longer qualifying as held for sale or as a discontinued operation. As a result of this change, we recorded a $160 million adjustment to reduce the carrying value of CCBA's property, plant and equipment and definite-lived intangible assets by an additional $34 million and $126 million, respectively, to reflect additional depreciation and amortization that would have been recognized during the period CCBA was held for sale. This adjustment was recorded in the line item other income (loss) — net in our consolidated statement of income.

Assets and Liabilities Held for Sale

As of December 31, 2021, the Company had certain bottling operations in Asia Pacific that met the criteria to be classified as held for sale. As a result, we were required to record their assets and liabilities at the lower of carrying value or fair value less any costs to sell. As the fair value less any costs to sell exceeded the carrying value, the related assets and liabilities were recorded at their carrying value. These assets and liabilities were included in the Bottling Investments operating segment. The Company expects these bottling operations to be refranchised during 2022.

The following table presents information related to the major classes of assets and liabilities that were classified as held for sale and were included in the line items prepaid expenses and other current assets and accounts payable and accrued expenses, respectively, in our consolidated balance sheet (in millions):

		December 31, 2021
Cash, cash equivalents and short-term investments	$	228
Trade accounts receivable, less allowances		21
Inventories		55
Prepaid expenses and other current assets		36
Other noncurrent assets		9
Deferred income tax assets		6
Property, plant and equipment — net		282
Goodwill		37
Assets held for sale	$	674
Accounts payable and accrued expenses	$	139
Accrued income taxes		4
Other noncurrent liabilities		9
Deferred income tax liabilities		5
Liabilities held for sale	$	157

NOTE 3: REVENUE RECOGNITION

Our Company markets, manufactures and sells:

- beverage concentrates, sometimes referred to as “beverage bases,” and syrups, including fountain syrups (we refer to this part of our business as our “concentrate operations”); and
- finished sparkling soft drinks and other beverages (we refer to this part of our business as our “finished product operations”).

Generally, finished product operations generate higher net operating revenues but lower gross profit margins than concentrate operations.

Our concentrate operations typically generate net operating revenues by selling concentrates, syrups and certain finished beverages to authorized bottling operations (to which we typically refer as our “bottlers” or our “bottling partners”). Our bottling partners either combine concentrates with still or sparkling water and sweeteners (depending on the product), or combine syrups with still or sparkling water, to produce finished beverages. The finished beverages are packaged in authorized containers, such as cans and refillable and nonrefillable glass and plastic bottles, bearing our trademarks or trademarks licensed to us and are then sold to retailers directly or, in some cases, through wholesalers or other bottlers. In addition, outside the United States, our bottling partners are typically authorized to manufacture fountain syrups, using our concentrates, which they sell to fountain retailers for use in producing beverages for immediate consumption, or to authorized fountain wholesalers who in turn sell and distribute the fountain syrups to fountain retailers. Our concentrate operations are included in our geographic operating segments and our Global Ventures operating segment.

Our finished product operations generate net operating revenues by selling sparkling soft drinks and a variety of other finished beverages to retailers, or to distributors and wholesalers who in turn sell the beverages to retailers. These operations consist primarily of our consolidated bottling and distribution operations, which are included in our Bottling Investments operating segment. In certain markets, the Company also operates non-bottling finished product operations in which we sell finished beverages to distributors and wholesalers that are generally not one of the Company’s bottling partners. These operations are generally included in one of our geographic operating segments or our Global Ventures operating segment. Additionally, we sell directly to consumers through retail stores operated by Costa. These sales are included in our Global Ventures operating segment. In the United States, we manufacture fountain syrups and sell them to fountain retailers, who use the fountain syrups to produce beverages for immediate consumption, or to authorized fountain wholesalers or bottling partners who in turn sell the fountain syrups to fountain retailers. These fountain syrup sales are included in our North America operating segment.

NOTE 7: INTANGIBLE ASSETS

Indefinite-Lived Intangible Assets

The following table presents the carrying values of indefinite-lived intangible assets included in our consolidated balance sheets (in millions):

December 31,	2021	2020
Trademarks[1]	**$ 14,465**	$ 10,395
Goodwill	**19,363**	17,506
Other	**211**	225
Indefinite-lived intangible assets	**$ 34,039**	$ 28,126

[1] For information related to the Company's acquisitions, refer to Note 2.

The following table provides information related to the carrying value of our goodwill by operating segment (in millions):

	Europe, Middle East & Africa	Latin America	North America	Asia Pacific	Global Ventures	Bottling Investments	Total
2020							
Balance at beginning of year	$ 1,294	$ 170	$ 7,943	$ 170	$ 2,806	$ 4,381	$ 16,764
Effect of foreign currency translation	40	(6)	—	7	84	(216)	(91)
Acquisitions[1]	—	—	775	—	—	—	775
Purchase accounting adjustments[1,2]	(26)	—	74	24	2	(2)	72
Impairments	—	—	—	—	—	(14)	(14)
Balance at end of year	$ 1,308	$ 164	$ 8,792	$ 201	$ 2,892	$ 4,149	$ 17,506
2021							
Balance at beginning of year	**$ 1,308**	**$ 164**	**$ 8,792**	**$ 201**	**$ 2,892**	**$ 4,149**	**$ 17,506**
Effect of foreign currency translation	**(83)**	**(8)**	**—**	**(6)**	**46**	**(285)**	**(336)**
Acquisitions[1]	**55**	**44**	**1,886**	**227**	**45**	**—**	**2,257**
Impairments	**—**	**—**	**—**	**—**	**—**	**(7)**	**(7)**
Divestitures, deconsolidations and other[3]	**—**	**—**	**(13)**	**—**	**(7)**	**(37)**	**(57)**
Balance at end of year	**$ 1,280**	**$ 200**	**$ 10,665**	**$ 422**	**$ 2,976**	**$ 3,820**	**$ 19,363**

[1] For information related to the Company's acquisitions, refer to Note 2.

[2] Includes the allocation of goodwill from the Europe, Middle East and Africa segment to other reporting units expected to benefit from the CHI acquisition as well as purchase accounting adjustments related to fairlife. Refer to Note 2.

[3] The decrease in the Bottling Investments segment was a result of certain bottling operations in Asia Pacific being classified as held for sale. Refer to Note 2.

Definite-Lived Intangible Assets

The following table provides information related to definite-lived intangible assets (in millions):

	December 31, 2021			December 31, 2020		
	Gross Carrying Value	**Accumulated Amortization**	**Net Carrying Value**	Gross Carrying Value	Accumulated Amortization	Net Carrying Value
Customer relationships	**$ 336**	**[1] $ (86)**	**$ 250**	$ 195	$ (61)	$ 134
Trademarks	**189**	**(87)**	**102**	245	(77)	168
Other	**273**	**[2] (51)**	**222**	332	(210)	122
Total	**$ 798**	**$ (224)**	**$ 574**	$ 772	$ (348)	$ 424

[1] Includes $150 million related to the BodyArmor acquisition. Refer to Note 2.

[2] Includes $102 million for BodyArmor noncompete agreements. Refer to Note 2.

Total amortization expense for intangible assets subject to amortization was $165 million, $203 million and $120 million in 2021, 2020 and 2019, respectively. The increase in amortization expense in 2020 was due to the recognition of a full year of intangible amortization related to CCBA versus seven months in 2019.

Based on the carrying value of definite-lived intangible assets as of December 31, 2021, we estimate our amortization expense for the next five years will be as follows (in millions):

		Amortization Expense
2022	$	106
2023		81
2024		66
2025		59
2026		47

NOTE 8: ACCOUNTS PAYABLE AND ACCRUED EXPENSES

Accounts payable and accrued expenses consisted of the following (in millions):

December 31,		**2021**		2020
Accounts payable	**$**	**4,602**	$	3,517
Accrued marketing expenses		**2,830**		1,930
Variable consideration payable		**1,118**		1,137
Accrued compensation		**1,051**		609
Other accrued expenses		**5,018**		3,952
Accounts payable and accrued expenses	**$**	**14,619**	$	11,145

NOTE 9: LEASES

We have operating leases primarily for real estate, aircraft, vehicles, and manufacturing and other equipment.

Balance sheet information related to operating leases is as follows (in millions):

December 31,		**2021**		2020
Operating lease ROU assets[1]	**$**	**1,418**	$	1,548
Current portion of operating lease liabilities[2]	**$**	**310**	$	322
Noncurrent portion of operating lease liabilities[3]		**1,161**		1,300
Total operating lease liabilities	**$**	**1,471**	$	1,622

[1] Operating lease ROU assets are included in the line item other noncurrent assets in our consolidated balance sheets.

[2] The current portion of operating lease liabilities is included in the line item accounts payable and accrued expenses in our consolidated balance sheets.

[3] The noncurrent portion of operating lease liabilities is included in the line item other noncurrent liabilities in our consolidated balance sheets.

We had operating lease costs of $342 million and $353 million for the years ended December 31, 2021 and 2020, respectively. During 2021 and 2020, cash paid for amounts included in the measurement of operating lease liabilities was $352 million and $365 million, respectively. Operating lease ROU assets obtained in exchange for operating lease obligations were $194 million and $528 million for the years ended December 31, 2021 and 2020, respectively.

Information associated with the measurement of our operating lease obligations as of December 31, 2021 is as follows:

Weighted-average remaining lease term	8 years
Weighted-average discount rate	2.7 %

Report of Independent Registered Public Accounting Firm

Board of Directors and Shareowners
The Coca-Cola Company

Opinion on the Financial Statements

We have audited the accompanying consolidated balance sheets of The Coca-Cola Company and subsidiaries (the Company) as of December 31, 2021 and 2020, the related consolidated statements of income, comprehensive income, shareowners' equity and cash flows for each of the three years in the period ended December 31, 2021, and the related notes (collectively referred to as the "consolidated financial statements"). In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2021 and 2020, and the results of its operations and its cash flows for each of the three years in the period ended December 31, 2021, in conformity with U.S. generally accepted accounting principles.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (PCAOB), the Company's internal control over financial reporting as of December 31, 2021, based on criteria established in Internal Control-Integrated Framework issued by the Committee of Sponsoring Organizations of the Treadway Commission (2013 framework) and our report dated February 22, 2022 expressed an unqualified opinion thereon.

Basis for Opinion

These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the Company's financial statements based on our audits. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audits in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement, whether due to error or fraud. Our audits included performing procedures to assess the risks of material misstatement of the financial statements, whether due to error or fraud, and performing procedures that respond to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements. Our audits also included evaluating the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the financial statements. We believe that our audits provide a reasonable basis for our opinion.

Critical Audit Matters

The critical audit matters communicated below are matters arising from the current period audit of the consolidated financial statements that were communicated or required to be communicated to the audit committee and that: (1) relate to accounts or disclosures that are material to the consolidated financial statements and (2) involved our especially challenging, subjective or complex judgments. The communication of critical audit matters does not alter in any way our opinion on the consolidated financial statements, taken as a whole, and we are not, by communicating the critical audit matters below, providing separate opinions on the critical audit matters or on the accounts or disclosures to which they relate.

Accounting for uncertain tax positions

Description of the Matter

As described in Note 11 and Note 14 to the Company's consolidated financial statements, the Company is involved in various income tax matters for which the ultimate outcomes are uncertain. As of December 31, 2021, the gross amount of unrecognized tax benefits was $906 million. As described in Note 11, on September 17, 2015 the Company received a Statutory Notice of Deficiency from the Internal Revenue Service for the tax years 2007 through 2009 in the amount of $3.3 billion for the period. On November 18, 2020, the U.S. Tax Court issued an opinion predominantly siding with the IRS related to the Company's transfer pricing between its U.S. parent company and certain of its foreign affiliates for tax years 2007 through 2009.

While the Company continues to disagree with the IRS positions and the portions of the opinion affirming such positions, it is possible that some portion or all of the adjustment proposed by the IRS could ultimately be upheld. As a result of the application of ASC 740, *Accounting for Income Taxes*, the Company has recorded a tax reserve of $400 million for this matter as of December 31, 2021.

Auditing management's evaluation of uncertain tax positions, including the uncertain tax position associated with the IRS notice and opinion, was especially challenging due to the level of subjectivity and significant judgment associated with the recognition and measurement of the tax positions that are more likely than not to be sustained.

How We Addressed the Matter in Our Audit

We obtained an understanding, evaluated the design, and tested the effectiveness of controls over the Company's accounting process for uncertain tax positions. Our procedures included testing controls addressing the completeness of uncertain tax positions, controls relating to the identification and recognition of the uncertain tax positions, controls over the measurement of the unrecognized tax benefit, and controls over the identification of developments related to existing uncertain tax positions.

Our audit procedures included, among others, evaluating the assumptions the Company used to assess its uncertain tax positions and related unrecognized tax benefit amounts by jurisdiction. We also tested the completeness and accuracy of the underlying data used in the identification and measurement of uncertain tax positions. We evaluated evidence of management's assessment of the opinion, including inquiries of tax counsel, inspection of technical memos, and written representations of management. We involved professionals with specialized skill and knowledge to assist in our evaluation of the tax technical merits of the Company's assessment, including the assessment of whether the tax positions are more likely than not to be sustained, the amount of the potential benefits to be realized, and the application of relevant tax law. We also assessed the Company's disclosure of uncertain tax positions included in Note 11 and Note 14.

Valuation of trademarks with indefinite lives and goodwill

Description of the Matter

As described in Note 1 to the Company's consolidated financial statements, the Company performs an annual impairment test of its indefinite-lived intangible assets, including trademarks with indefinite lives and goodwill, or more frequently if events or circumstances indicate that assets might be impaired. Each impairment test may be qualitative or quantitative. Trademarks with indefinite lives and goodwill were $14.5 billion and $19.4 billion, respectively, as of December 31, 2021.

Auditing the valuation of trademarks with indefinite lives and reporting units with goodwill involved complex judgment due to the significant estimation required in determining the fair value of the trademarks with indefinite lives and related reporting units with goodwill, respectively. Specifically, the fair value estimates were sensitive to significant assumptions about future market and economic conditions. Significant assumptions used in the Company's fair value estimates included sales volume, pricing, royalty rates, long-term growth rates, and cost of capital, as applicable.

How We Addressed the Matter in Our Audit

We obtained an understanding, evaluated the design and tested the operating effectiveness of controls over the Company's annual impairment tests for trademarks with indefinite lives and reporting units with goodwill. For example, we tested management's risk assessment process to determine whether to perform a quantitative or qualitative test and management's review controls over the valuation models and underlying assumptions used to develop such estimates. For impairment tests of reporting units with goodwill, we also tested controls over the determination of the carrying value of the reporting units. We tested the estimated fair values of the trademarks with indefinite lives and reporting units with goodwill based on our risk assessments.

Our audit procedures included, among others, comparing significant judgmental inputs to observable third party and industry sources, considering other observable market transactions, and evaluating the reasonableness of management's projected financial information by comparing to third party industry projections, third party economic growth projections, and other internal and external data. We performed sensitivity analyses of certain significant assumptions to evaluate the change in the fair value of the trademarks with indefinite lives and reporting units with goodwill and also assessed the historical accuracy of management's estimates. In addition, we involved specialists to assist in our evaluation of certain significant assumptions used in the Company's discounted cash flow analyses. We also assessed the Company's disclosure of its annual impairment tests included in Note 1.

/s/ Ernst & Young LLP

We have served as the Company's auditor since 1921.

Atlanta, Georgia
February 22, 2022